

SLC's 2025/26 crop guidance unveiled

The News:

As it normally happens this time of the year, SLC announced its first guidance for the 2025/26 crop season, providing estimates for planted area, yields, and unit costs across its crop portfolio.

Our Take:

Late September/early October marks the start of the planting season for the 2025/26 crop for SLC. With big part of inputs already purchased, and seeding of early soybean planting starting, SLC unveiled a guidance that came somewhat worse than our expectations (see Table 1). Cotton and soybean yields are marginally better than our estimates, but expected unit costs were a negative surprise.

Starting with planted area: SLC projects 836k ha (in line with us), up 100k ha y/y due to the Sierentz acquisition in March. Cotton and soybeans will account for similar shares of the portfolio, with 24% of the total area allocated to cotton (first and second crop) and 51% to soybeans. Corn gained share, rising from 17% to 19%, mainly at the expense of other crops. We had expected a larger expansion in cotton, while soybean matched our estimates and corn exceeded them.

On yields, soybeans and cotton slightly exceeded expectations (+0.5% and +0.9%, respectively), while corn was below (-7.4%). We anticipated some improvement in corn yields compared to the current crop, but SLC forecasts a 6.5% decline. The incorporation of new Sierentz areas may have led SLC to adopt a more conservative approach to corn yields. As a result, cotton production is expected to be below our estimates, while soybean and corn should come higher, with lower corn yields offset by the increase in planted area.

But expected costs carried the main divergence to our estimates. While we anticipated higher input costs y/y, the increase was steeper than expected. Unitary costs are expected to rise 6.7% y/y for cotton, 9.0% for soybeans, and 19.5% for corn, coming in above our estimates by 1.3%, 3.1%, and 13.8%, respectively. Again, the jump in corn area likely driven by Sierentz incorporation may have shuffled SLC's cost balance in this initial crop operating these farms.

All in all, we don't see the guidance as a positive catalyst. If we were to incorporate these numbers into our model, our 2026 EBITDA forecast would decline roughly R\$150mn, from R\$2.5bn to R\$2.35bn given the higher unit costs, without a proportionally positive impact of higher prices.

SLC remains one of Brazil's most efficient large-scale farming operations, and the new guidance reinforces that view. As we've noted in recent reports, the margin pendulum between farmers and food processors is swinging back toward producers, which should benefit the company in the long run. But this shift is gradual. SLC shares thus continue to lack near-term triggers as they wait for a stronger commodity price backdrop.

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Table 1: SLC 2025/26 crop guidance

Planted Area ('000 ha)	2024/25	2024/25	2025/26	C / A	C / B	2025/26	C / D
	Budget (A)	Forecast (B)	Budget (C)			BTGe (D)	
Cotton	193.5	178.8	199.7	3.2%	11.7%	203.1	-1.7%
Cotton 1st crop	95.4	95.5	103.3	8.3%	8.2%	108.4	-4.7%
Cotton 2nd crop	98.1	83.3	96.4	-1.7%	15.6%	94.7	1.8%
Soybean	379.8	377.5	429.7	13.1%	13.8%	428.8	0.2%
Corn (2nd crop)	119.0	122.7	158.2	33.0%	28.9%	139.4	13.5%
Other crops	44.7	56.8	48.4	8.3%	-14.8%	64.5	-25.0%
Total area	737.0	735.9	836.1	13.5%	13.6%	835.9	0.0%

Yield (kg / ha)	2024/25	2024/25	2025/26	C / A	C / B	2025/26	C / D
	Budget (A)	Forecast (B)	Budget (C)			BTGe (D)	
Cotton	1,975	1,986	2,025	2.6%	2.0%	2,016	0.5%
Cotton 1st crop	2,041	1,833	2,066	1.2%	12.7%	1,860	11.0%
Cotton 2nd crop	1,910	2,161	1,982	3.8%	-8.3%	2,193	-9.6%
Cotton seed	2,431	2,395	2,491	2.5%	4.0%	2,671	-6.7%
Soybean	3,976	3,960	4,036	1.5%	1.9%	4,000	0.9%
Corn (2nd crop)	7,542	8,274	7,738	2.6%	-6.5%	8,357	-7.4%

Production (k ton)	2024/25	2024/25	2025/26	C / A	C / B	2025/26	C / D
	Budget (A)	Forecast (B)	Budget (C)			BTGe (D)	
Cotton	382	355	405	5.9%	13.9%	409	-1.2%
Cotton 1st crop	195	175	213	9.6%	22.0%	202	5.8%
Cotton 2nd crop	187	180	191	2.0%	6.1%	208	-8.0%
Cotton seed	470	428	497	5.8%	16.2%	542	-8.3%
Soybean	1,510	1,495	1,734	14.9%	16.0%	1,715	1.1%
Corn (2nd crop)	897	1,016	1,225	36.5%	20.6%	1,165	5.1%

Production cost (R\$ / ha)	2024/25	2024/25	2025/26	C / A	C / B	2025/26	C / D
	Budget (A)	Forecast (B)	Budget (C)			BTGe (D)	
Cotton	12,261	12,311	13,399	9.3%	8.8%	13,161	1.8%
Cotton 1st crop	12,876	12,876	13,877	7.8%	7.8%	13,766	0.8%
Cotton 2nd crop	11,663	11,663	12,887	10.5%	10.5%	12,469	3.4%
Soybean	4,659	4,659	5,178	11.1%	11.1%	4,977	4.0%
Corn (2nd crop)	3,967	3,967	4,434	11.8%	11.8%	4,210	5.3%

Unit cost (R\$ / ton)	2024/25	2024/25	2025/26	C / A	C / B	2025/26	C / D
	Budget (A)	Forecast (B)	Budget (C)			BTGe (D)	
Cotton	6,209	6,199	6,615	6.5%	6.7%	6,530	1.3%
Cotton 1st crop	6,309	7,025	6,717	6.5%	-4.4%	7,399	-9.2%
Cotton 2nd crop	6,106	5,397	6,502	6.5%	20.5%	5,685	14.4%
Soybean	1,172	1,177	1,283	9.5%	9.0%	1,244	3.1%
Corn (2nd crop)	526	479	573	8.9%	19.5%	504	13.8%

Source: Company data, BTG Pactual

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